

PLAYBOOK

Plays from the work.

Practical notes and working tools on building a business that can keep moving. Written from the store floor, the development schedule, the site walk, and the franchise pipeline.

**THE STRONGEST
PERFORMER BECOMES
THE BIGGEST SINGLE
POINT OF FAILURE.**

Your Best Manager Cannot Be the Operating System

How to turn one manager's judgment into a field system every location can use.

TAVIS SCHOLZ · 19 SEPTEMBER 2026 · 5 MIN READ

You have one. Every multi-unit operator does. The manager whose store just runs. Labor lands, shrink stays low, the team stays, the reviews are good, and when something goes sideways at another location, she's the one you send. You've thought about cloning her. You've probably tried: put her in charge of training, had new managers shadow her for two weeks, asked her to write down how she does it. And the other stores still don't run like hers.

That's not a talent gap in the rest of your bench. It's a transfer problem, and it has a specific cause.

Why "Just Write It Down" Produces a Folder Nobody Opens

Roughly 80% of the processes in a typical business are undocumented. That number gets quoted a lot. The part that matters more is what the documented 20% actually contains: the official process, not the real one. Documentation captures the workflow. Your best manager's edge is the judgment she applies to the workflow, and those are different things.

Ask her to write down “how to run a store” and you get a bad manual, for the same reason a great chef asked to write down “how to cook” produces a bad cookbook. Expertise is stored in the situations where it gets used. She can’t narrate it cold. So the shared-drive folder gets built, the calendar invite goes out, the two-week shadow happens, and six months after she gets promoted or leaves, her successor has quietly rebuilt half of what she knew, badly, and is still learning the other half by breaking things.

“Documentation captures the workflow diagram. Tribal knowledge is the judgment that gets applied to the workflow. Those are different substrates.”

—VERTI

Median tenure in most operations sits around three and a half years. Knowledge isn’t walking out the door at retirement. It’s walking out continuously.

What Actually Gets the Judgment Out

The method that works is unglamorous: sit with her, one real case at a time, and ask why. Not “how do you schedule,” but “why did you pull Tuesday’s mid shift last week and not the close.” Not “how do you handle shrink,” but “why did you count the candy wall on a Wednesday.” Never let it float into the abstract.

A knowledge-capture team ran this with a senior insurance underwriter who could not describe her renewal process on a blank page. Case by case, asked why this file gets approved and that one doesn’t, she talked for an hour on every decision. Every reason came out. None of them were in her team’s SOPs.

FAST FACTS

- Ask why against real cases, never in the abstract. Cold narration produces the checklist. Live cases produce the judgment.

- Separate operating logic from personal habit. Some of what she does is the system. Some of it is just her.
- Validate across two or three strong managers per role before you call it the standard. Until then, her method is a hypothesis.

That last step is where most operators skip ahead. Encoding one person's habits into the system institutionalizes the quirks along with the judgment. The output you want is a working profile: the case types she sees, the reasoning behind each call, the exception library, the triggers that make her escalate, and where she looks first when a store feels off.

Documents Don't Run Stores. Routines Do.

Here's the trap on the far side of the capture: producing a document and calling it done. A documentation project produces documents. What you need is something that runs, every store, every week, whether or not she's in the building.

THE CAPTURE REPLACES THE BURDEN, NOT THE ROLE

When a 1,200-store chain captured a 28-year field veteran's diagnostic judgment, the field work took about a week and produced seven hours of recordings across eleven stores. Encoding and validation took several more weeks with the operator in the loop. The first weekly reports went out within 60 to 90 days. The district manager still walks the store and still drives the intervention. What changed is that the diagnostic work that used to consume the visit is already done when the visit starts.

The delivery mechanism at store level is the routine, not the manual. A routine defines when the work happens, who does it, what sequence is followed, how completion is confirmed, and how exceptions escalate. That's the form your best manager's judgment needs to take to survive contact with a store she's never seen.

One prerequisite worth being honest about: this works against whatever data she already uses to run a store. POS, labor, inventory, reviews. If you don't have that layer, build it first. Buying software before the method exists is paying to digitize the chaos. The value split is roughly 70% method, 30% tool.

When to Do This

Most operators start the capture after a near-miss: she gives notice, or gets sick, or the store she left behind falls apart within a quarter. That's the expensive version. The cheap version is doing it now, while she's engaged, while the cases are fresh, and while the second and third best managers are around to validate what she says.

Three things worth un-learning:

- Promoting her preserves the knowledge. It moves the person. The judgment still lives in exactly one head, now further from the stores.
- Having her train everyone else transfers the system. Training moves explicit knowledge well and tacit knowledge poorly. Judgment has to be recorded in action, not lectured.
- Her method is the system. Until two or three other strong operators confirm it, it's one person's logic mixed with personal habit.

THIS WEEK

Pick the manager you'd least want to lose. Book two hours with her, in her store, not a conference room. Bring three real situations from the last month: a labor call, a shrink issue, a staffing problem. For each one, ask why she did what she did, then ask why again. Write down only the reasons, not the steps. By the end you'll have the first page of the operating logic your other locations have never been given. Then ask your second-best manager the same three questions and see where they agree.

Why New Store Openings Fall Behind: 5 Handoffs Your Checklist Must Control

The owners, dependencies, and decision dates that keep routine surprises from becoming opening delays.

TAVIS SCHOLZ · 19 SEPTEMBER 2026 · 5 MIN READ

The opening date was set the day the lease got signed. Everybody agreed to it. There's a checklist, a long one, and every line on it will get done. And the store will still open three weeks late, because the checklist never had the one thing that actually decides an opening date: who owns each handoff, what it depends on, and the date by which a decision has to be made.

Most openings run 90 to 180 days from lease signing to doors open. About 40% of them slip. When you go back and look at where the time went, it's almost never the construction crew. It's the space between teams.

“Every boundary between teams is a risk point.”

—HUBLER

A typical opening moves through roughly three dozen milestones and touches 15 to 20 people across real estate, legal, construction, IT, ops, HR, and the landlord's side. Each time the work passes from one of them to the next, it costs two to five days on average.

Five handoffs decide most of the schedule. Here they are, with what your checklist needs to say about each.

1. Lease to Pre-Construction: The Site Handover

A signed lease does not mean the site is ready for work. Delays start here because the premises condition, landlord obligations, access rights, permit status, and utility connections never got validated before the schedule got locked.

Treat the handover like a delivery you're inspecting. Possession date. Loading access and delivery restrictions. Work-hour limits. Ceiling heights, floor condition, storefront condition. HVAC, electrical, and plumbing capacity. Fire and sprinkler coverage. Signage rights. Landlord-controlled areas. Have real estate, construction, ops, IT, and facilities all look at it, and get the answers in writing.

FAST FACTS

- Every landlord dependency gets the same rigor as an internal task: an owner, a due date, an evidence requirement, and an escalation path. Not a verbal assurance.
- The lease terms that become project inputs: rent-free period, fit-out commencement date, fit-out specifications, landlord approval requirements.
- Leases that go into a filing cabinet create the problems that surface eighteen months later. Put the obligations somewhere the project team can see them.

2. Design to Permits: The Third-Party Clock

Permitting is the single largest source of delay, for three reasons: it happens before construction can start, it depends on somebody else's review queue, and it varies wildly by jurisdiction. The same tenant build-out clears in four to eight weeks in a fast suburb and takes eight to twelve or more in a major coastal city.

The control here is a permit tracker, owned by someone on your side, not assumed to be handled by the general contractor. Each required approval, who's responsible, submission date, expected approval date, what it depends on, current status, and the trigger that escalates it. Building, electrical, plumbing, signage, health, fire, occupancy, food handling, business registration. Whatever your format needs.

3. Procurement to Construction: Long-Lead Equipment

Rooftop HVAC units and electrical switchgear have run twenty to forty weeks to procure in recent years. That breaks the old assumption that you order them once construction is underway. Signage and landlord deliverables round out the usual hiding places. All of these run on their own clock, in parallel with the build, which is exactly why they get missed.

THE FIXTURE TRACKER

Fixtures connect construction to merchandising. Gondolas, cashwraps, refrigeration cases, signage frames, specialty equipment. They have to arrive on time, undamaged, and in the right sequence, or merchandising setup gets compressed into overnight recovery work. Track order date, vendor, ship date, delivery window, installation owner, quality inspection, and missing or damaged items. The decision date is the day the order has to be placed to hit the install window, not the day construction needs it.

4. Construction to Operations: The Readiness Gate

Two mistakes live here. Delaying the opening over a scratched wall, and opening with a failed fire inspection. The punch list needs to distinguish opening-critical defects from post-opening corrections, and it needs to do that before the final walkthrough, not during it.

Define who has authority to sign off on construction completion, IT, security, merchandising, operations, HR, compliance, and the final go or no-go. Then require

evidence, not confidence: inspection certificates, test results, photos, training records, inventory reports, system screenshots, vendor completion forms. If leadership decides to open with something unresolved, the rationale and the mitigation plan get written down. That protects the business from informal risk acceptance.

5. Project Team to Store Team: Day One

The opening sequence itself is a chain: signage, final inspections, certificate of occupancy, punch list, merchandising, staff training, soft open, grand open. The last handoff is the project team handing the building to the people who'll run it. Put store associates in the final walkthrough. They think in terms of daily use and catch what headquarters misses. It also gives them ownership before the doors open.

Then remember the opening isn't the finish line. New stores typically take 12 to 24 months to reach maturity, and the first 90 days separate the ones that get there from the ones that stall.

Why It Keeps Happening

There's no single source of truth. The project plan lives in someone's spreadsheet. Vendor contracts are in email threads. The compliance checklist is in someone's drawer. Finance doesn't know the fit-out is over budget until month end. Ops doesn't know the fire approval is pending until opening week.

Openings run by a project manager with a standardized playbook finish on average 43 days faster than ones run ad hoc. Not because the PM is a hero. Because every dependency carries an owner, a date, an evidence requirement, and an escalation path, so control survives whoever's in the seat.

Three things worth un-learning:

- The checklist is the plan. A checklist without owners, dependencies, and decision dates is a document, not a control system.

- The general contractor owns permits. Permits run on a third-party queue. You need a tracker, not an assumption.
- Delays are construction's fault. Most delays originate in the handoffs and the third-party clocks, not in how fast the crew works.

THIS WEEK

Open your current opening checklist. For every line, add three columns: who owns it, what it can't start without, and the date by which a decision must be made or the opening date moves. Then look for the lines that have no owner, or where the owner is "the landlord" or "the GC." Those are your next three weeks of delay, and you can see them today.

Before You Sign the Lease: Why a Great Site Can Still Be the Wrong Location

Evaluate the trade area, the portfolio fit, and the unit economics. Not just the address.

TAVIS SCHOLZ · 19 SEPTEMBER 2026 · 5 MIN READ

The corner is perfect. Good visibility, strong traffic, the right neighbors, a landlord who wants you. Everybody who walks it says the same thing. And you can still lose money there for nine years, because the address is only one of the questions a lease answers, and it's the one operators spend the most time on.

The lease is the least reversible decision you'll make. Staff, pricing, hours, product mix, all of that can change in a week. Square footage on a nine-year term can't. One in four new establishments doesn't reach its first birthday. Some of those were bad concepts. A lot of them were good concepts in the wrong box.

“Two sites on the same street can differ by 30% or more in passing traffic because of a corner, a crossing, or a bus stop. So measure the address, not the neighbourhood.”

—MYTRAFFIC

Six Checks, In This Order

The order matters. Cheap checks first, so you disqualify weak sites before you pay a lawyer or a surveyor. Any one of these can rule a site out.

Footfall at the door. Twelve months of it, not one. A street that lives off a summer market or a single office tower has a traffic profile that collapses for part of the year. Your rent doesn't.

The real trade area. Where your customers actually come from is almost never a neat radius. It follows roads and transit and habit, and it stops dead at a river, a highway, or a rival cluster. Draw drive-time polygons, not circles. The primary trade area typically supplies 50 to 80% of revenue.

Demographics against your customer. Write your customer profile down before you look at the data, or you'll talk yourself into whatever the site happens to show. Set pass-or-fail numbers: household income above a threshold at a minimum share of the trade area, residents within a ten-minute walk, enough daytime workers to carry a Tuesday.

The competitive set. Direct competitors inside the primary trade area, counted, not felt.

Accessibility. Visibility, ingress and egress, parking, transit.

The lease clauses themselves. Which is where good sites go bad.

Where Good Sites Go Bad

An office lease negotiates the box: square footage, rent, term. A retail lease negotiates the ecosystem: who else is in the center, how traffic reaches your door, whether you can grow nearby, and what share of your sales the landlord takes on top of rent. Those provisions can't be unwound at renewal, so they deserve disproportionate attention now.

FAST FACTS

- Percentage rent typically runs 4 to 12% of gross sales over a breakpoint. Negotiate the breakpoint 10 to 25% above the natural one, and narrow what counts as gross sales: exclude returns, sales tax, gift cards at issuance, third-party delivery commissions, e-commerce fulfilled elsewhere.
- CAM and triple-net charges run \$3 to \$10 per square foot a year, higher in enclosed malls. Rent-to-sales for most retail formats needs to land under 8 to 12%.
- Without an exclusive-use clause, the landlord can lease the suite next door to a direct competitor. Ask for exclusivity on your primary category with a radius and a real remedy.
- Without a co-tenancy clause, the anchor can leave and your rent stays. Tie the rent obligation to minimum occupancy or named anchors, with rent relief and a termination right if they go dark.

Done well, percentage rent aligns you and the landlord. Done poorly, with a low breakpoint and a broad definition of sales, it makes the lease far more expensive than the base rent suggests. Get the property, finance, operations, and legal reads before the lease process starts, in a deal memo, not a phone call.

The Question That Decides the Deal

If you already operate nearby, there's a check the six above don't cover. A new location posts real revenue. If a chunk of it walked over from your store three miles away, the brand didn't grow. It redistributed.

NET-NEW SALES

Model the proposed site's trade area against every existing store nearby and estimate the shared customers. That gives you a transfer rate: the share of projected sales that's a hand-off, not a gain. Subtract it and you have net-new sales, the single most useful number in the analysis. A site that posts strong gross sales but transfers half of them from an existing store is a very different

investment than one with the same gross and almost no transfer. Typical infill openings run 5 to 8% cannibalization. Sometimes accepting more is right, to block a competitor or improve convenience. The failure isn't overlap. It's unmeasured overlap.

Score all of it against your best existing stores. If you can't explain why your top performers work in these terms, you can't tell whether the new site will.

Four things worth un-learning:

- A great address is a great site. Measure the door, not the neighborhood.
- The rent is the rent. Percentage rent, CAM, exclusives, and co-tenancy are the real occupancy cost.
- Strong footfall means strong sales. Traffic that converts matters. Volume without fit is a trap.
- A busy summer street is a good site. Test twelve months, not the peak.

THIS WEEK

Before you look at another site, write down your customer on one page: income band, household type, how far they'll travel, what day and hour they show up. Then take your best-performing store and run it through the six checks above. Write down the numbers it clears. That's your pass-or-fail sheet, and any site that can't clear what your best store clears isn't a candidate, no matter how good the corner looks.

When Your Franchise Sales Story Outruns Your Item 19

The gap between what candidates hear and what the FDD supports is where deals die, and where the legal exposure lives.

TAVIS SCHOLZ · 19 SEPTEMBER 2026 · 5 MIN READ

A candidate is six weeks into your pipeline and everything has gone right. Discovery Day landed. The unit economics conversation felt honest. They're ready to sign. Then their attorney finishes the FDD review and the deal goes quiet. Not because the numbers in Item 19 were bad. Because they weren't the numbers the candidate had already been told.

That gap has two costs. One is the deal. The other is legal, and it's bigger than most sales teams understand.

Three Conditions, All Required

Item 19 is the only place in the franchise sales process where a financial performance representation is allowed to exist. The definition is broad: any oral, written, or visual representation that states or implies a specific level or range of sales, income, or profit. Under the FTC Franchise Rule, making one is unfair or deceptive unless three independent conditions are met: you have a reasonable basis for it, you have written substantiation at the time you make it, and it's in Item 19.

“A representation can be perfectly accurate and still unlawful because it is not in Item 19.”

—HDD LAW FIRM

Read that twice. Accuracy isn't a defense. A rep who says “our strongest stores tend to run higher” has just made an earnings claim, whether or not it's true. The rule reaches oral and visual statements specifically, which means sales conversations, slide decks, and webinars. And it reaches brokers: anyone under contract and compensated on sales is a franchise seller under FTC guidance, and their projection is covered the same as yours.

How It Actually Happens

Nobody sits down and decides to break this rule. It happens over a six-to-twelve-week relationship as a rep fields the same question again and again and starts filling the silence. “That number's a system average, yours would probably do better in a market like this.” None of that is in the FDD. All of it is now what the candidate believes.

FAST FACTS

- If you make a historical claim, Item 19 must disclose the group measured, the time period, the number of outlets in the group and how many supplied data, how many reached the stated result, what sets the group apart from the outlet being offered, and a clear admonition that results differ.
- Reporting only your top quartile is legal. Not saying that's what you did is the violation.
- A site-specific number beyond the FDD is allowed only in writing, explaining how it departs from Item 19, with all the same supporting information, and furnished to the prospect.

- If you make no claim at all, Item 19 must say so in prescribed language and direct candidates to report any earnings claim they receive to management, the FTC, and their state regulator.

That last point is the trap in a blank Item 19. Nobody buys a franchise without forming a view of what it will earn. If Item 19 is empty, that view came from somewhere: a conversation, a pro forma emailed during diligence, a figure mentioned at Discovery Day, a loan projection someone helped prepare. A blank Item 19 doesn't stop the number. It pushes it into channels you don't control.

What the Case Law Says

DISCOVERY DAY IS A SALES CHANNEL

Any Lab Test Now's FDD showed revenue and net income for five company affiliates with a caveat that it wasn't a profit statement. At Discovery Day, executives presented twelve affiliates with net profits of \$31,000 to \$117,000 and a break-even of \$8,000 a month. One franchisee's actual break-even ran about \$18,000. He lost \$26,000 on two stores in a year and joined six others in a misrepresentation suit. At Sellstate Realty, the president told Discovery Day prospects they could earn \$37,000 a month and that he'd personally made \$250,000 in one, numbers absent from an FDD that specifically told sales personnel not to make earnings claims.

The franchisor sometimes wins these. In Sellstate, a Minnesota court dismissed because once the franchisees read the disclaimers, they couldn't reasonably rely on the oral projections. Rocky Mountain Chocolate Factory, Ben & Jerry's, and Kiddie Academy all won on similar grounds. But outcomes depend as much on which state you're in as on what happened. New York and others have anti-waiver laws that don't let franchisees sign away those rights. Treating the disclaimer as a shield is betting your system on venue.

And winning the case still means you lost the deal, the legal fees, and a franchisee who's now telling every candidate in your pipeline what happened.

The Fix Isn't Silence

Telling your sales team to stop talking about money doesn't work. Candidates will ask regardless. The fix is giving them a specific, compliant answer that maps directly to whatever Item 19 says this year, so there's nothing left to freelance.

If your FDD makes no claim, that answer is short and it gets memorized word for word, not improvised under pressure. If it does make one, the team needs the plain-English version of exactly what it covers and, just as important, what it deliberately leaves out: which markets, which unit ages, which outliers were excluded. The deliberate gaps are exactly where reps guess. Review that mapping every time Item 19 changes, not once when it's written.

Three things worth un-learning:

- The numbers were accurate, so we're fine. Accuracy is one of three conditions. All three are required.
- Oral statements don't count. They're named in the definition, and so are slides and webinars.
- Our disclaimers make us untouchable. They've won cases. They've also lost them, and they never win back the deal.

THIS WEEK

Pull the last five to ten deals that stalled or died after the FDD went out and find out what came up: whether the number itself was the problem, or it didn't match something the candidate had already heard. Those are two different problems, and only one of them is about performance. Then ask each person who talks to candidates, without letting them check the FDD, what they'd say out loud if

someone asked about earnings today. Compare it to what Item 19 permits. Any daylight between the two is exactly where your pipeline is leaking.

Scaling Chaos: 7 Signs Growth Has Outrun Your Operating System

Revenue is up. Everything else feels harder. Here's how to tell whether that's normal growing pain or a system that's already broken.

TAVIS SCHOLZ · 19 SEPTEMBER 2026 · 6 MIN READ

Sales are climbing. You're busier than you've ever been. And somehow, everything takes longer, costs more, and breaks more often than it did a year ago when you were smaller. If that sounds familiar, you're not imagining it, and you're not failing. You're running into a well-documented pattern: growth is a stress test, not a reward, and most businesses fail the test at a predictable point.

"The infrastructure that supports five people rarely survives fifty, and the systems that worked at \$2M in revenue tend to collapse somewhere between \$10M and \$20M."

The dangerous part is the assumption underneath it: if the numbers are going up, the business must be working. It isn't necessarily. Here are the seven signs that tell you the operating system, not the market, is what's actually failing.

1. Decisions Stall Because Nobody Actually Owns Them

Something needs a call. It sits. Not because anyone's negligent, but because it was never clear whose call it was to make. This is one of the clearest tells that you've outgrown informal coordination. In a five-person team, everybody just knows who decides what, because you're all in the same room constantly. At thirty or fifty people, that shared awareness quietly disappears, and nothing has replaced it.

2. Your Best People Are Burning Out Fixing What Should Be a System

If your strongest managers are the ones constantly stepping in to catch things that keep almost falling through, that's not a compliment to their work ethic. It's a warning that you're running on heroics instead of process, and heroics are not a scaling strategy. A DevOps industry survey found 47% of engineers directly tie their burnout to exactly this pattern: relying on someone heroic instead of fixing the underlying design.

3. Every New Hire Costs More Than the Last One

If onboarding is "shadow someone for a week and figure it out," your hiring costs are multiplying quietly with every person you add, because nothing compounds. A new hire without structured onboarding takes about 6.5 months to reach full productivity. With it, Brandon Hall Group found structured onboarding improves retention by 82% and productivity by more than 70%. That gap is entirely a documentation problem, not a talent problem.

FAST FACTS

- Knowledge workers spend 15 to 25% of their work week just retrieving information: asking questions, digging through email, waiting on callbacks.
- Documenting your top 20 most-needed processes (not everything, just the top 20) can cut that to 5 to 8%.

- A \$75,000-a-year manager spending 8 hours a week answering questions that should be written down somewhere is a real, ongoing cost, not a one-time inconvenience.

4. Nobody Remembers Where Anything Is Written Down, Because It Isn't

This is the single point of failure problem in plain terms: if a process only lives in one person's head, that person leaving, getting sick, or getting promoted means the work stops or degrades. It's not a hypothetical. It's the default state of most growing businesses, and it's fixable in weeks, not years.

5. Leadership Spends the Week Fighting Fires Instead of Building Anything

If your calendar (or your best manager's calendar) is full of status updates and putting out the same fire for the third time this month, that's not a busy week. That's a business where communication has become a design problem that nobody's designed yet.

6. Someone Is Running More Locations Than the Math Actually Supports

There are real numbers here, and they're worth knowing cold: a general manager runs one location well. An above-store leader can hold three to five (six, if they're close together and performing well). A regional director can hold four to six districts. Past those numbers, the leader stops leading and starts triaging, and everything underneath them starts to drift without anyone quite noticing why.

THE TWO DELAYED HIRES THAT COST THE MOST

The two hires operators put off longest are the first real GM and the first district manager, and both delays are expensive in the same way: the district manager hire gets delayed because five stores feels too small to justify the salary. But the

cost of not having one shows up as variance between your locations, and that variance almost always costs more than the salary would have.

7. Management Turnover Is Climbing Even While Hourly Turnover Looks Fine

Hourly turnover has actually been improving industry-wide. Management turnover is the part that's gotten stickier, and it's the expensive part: replacing a GM runs roughly \$17,651 in hard costs and takes 42 days to fill. If your best assistant managers keep leaving, that's not a hiring market problem. It's usually a sign the layer above them isn't built well enough to support them.

Where the Org Chart Should Actually Change

Restaurant and retail org structure research points to specific inflection points: roughly 3, 7, 15, and 30 locations. Strong GMs come first. Above-store leadership gets added around 5 to 7 units. Functional support (ops, marketing, finance, people) comes in around 15. Regional structure shows up around 30. Skipping a stage doesn't save money. It just moves the cost into variance, turnover, and firefighting, where it's harder to see and harder to fix.

The Fast Way Almost Always Loses

There's a well-known argument for growing fast and fixing the mess later, sometimes called blitzscaling: speed matters more than efficiency in winner-take-most markets, so tolerate the chaos and clean it up once you've won. The data on this is fairly blunt. Across a dataset of 3,200-plus high-growth startups, premature scaling was present in 70% of the failures, and companies that scaled in a disciplined, sequenced way grew roughly 20 times faster than the ones that scaled prematurely. The surprising part: disciplined scalers didn't end up smaller. They ended up with teams 38% *bigger* at the same stage, because their growth was correctly sequenced instead of just fast.

The Reset That Preceded Growth, Twice

Starbucks spent nearly two years fixing throughput and service consistency before committing to its next wave of store growth. Only once average service time across café and drive-thru dropped under four minutes did leadership commit to roughly 400 net-new U.S. stores. Their own framing: *"Growth doesn't require us to become something new, it requires us to be exceptionally good at who we already are."*

Chipotle is the cautionary version of the same lesson. 2025 was its worst year as a public company, same-store sales fell for the first time since 2006, largely traced back to speed and throughput problems that never got fixed before the company kept expanding into new formats like catering.

Two things worth un-learning:

- Growth doesn't prove your foundation is solid. It's a stress test of it, and stress tests find the weak point.
- Technology doesn't fix a process problem. Most small businesses now use AI tools, but only 14% have them actually embedded in how work gets done. Tools without a workflow underneath them don't compound.

THIS WEEK

Pick one manager, GM, or department lead and count how many locations, people, or workstreams actually report to them. Compare it against the spans above: one for a GM, three to five for an above-store leader, four to six districts for a regional director. If someone's over the line, that's not a personnel problem you can coach your way out of. It's a structure problem, and it's costing you in variance you're probably already seeing but attributing to something else.

The Founder Bottleneck: How to Build a Business That Can Make Decisions Without You

The thing that made you indispensable in year one is quietly capping what your business is worth in year seven.

TAVIS SCHOLZ · 19 SEPTEMBER 2026 · 5 MIN READ

You're the person everyone calls. Vendor issue, staffing crisis, a customer complaint that escalated, a lease question, someone always ends up in your inbox or your voicemail. You've gotten good at it. Fast decisions, right most of the time, nobody has to wait on you long. It feels like strength. It's also, without you necessarily noticing, the reason your business can't grow past a certain point, and the reason it's worth less than it should be if you ever sell it.

Why the Business Slows Down Exactly When You Get Busier

There's a real ceiling here, and it shows up at a predictable size. Founder-led businesses typically hit the wall somewhere between \$2 million and \$15 million in revenue, not because the market changed, but because the founder became the operating system. At ten employees, being in every loop is fast and effective. At thirty, it's manageable. At fifty, it's the bottleneck. At a hundred, it's actively working against growth.

One consultancy ran a decision audit on a real business (an \$8 million luxury goods company, 65 employees) and tracked every decision the founder made over two weeks: 347 of them. When they broke those down, 41% were routine approvals that followed a clear rule and could be automated. Another 34% were judgment calls that could be delegated with the right framework. Only 25% actually required the founder specifically.

FAST FACTS

- After extracting the founder's decision logic into rules and frameworks, that same business went from 347 founder decisions per two weeks down to about 85.
- The founder's work week dropped from 70 hours to 45.
- Revenue rose 15% the following quarter, because decisions stopped waiting on one person's calendar.

What This Actually Costs You at Exit

If you plan to sell someday (and 75% of owners say they want to exit within ten years), this isn't a soft, someday problem. It's priced, right now, into what a buyer will pay.

“Enterprise value is not what your business earns. It is what a buyer will pay to own the cash flows after you are gone.”

Buyers interview your team, your top customers, your vendors, during diligence. If every answer traces back to you, they start discounting on the spot. Depending on how they frame it, that shows up as a straight 10 to 25% valuation cut (up to 50% in extreme cases), or as a multiple compression from the 7 to 8x a founder-independent business commands down to 3 to 4x, or as an earnout: they'll pay you over 24 months instead of at close, tied to the business surviving without you. Worth knowing before you agree to

one: on average, only about 21 cents of every earnout dollar promised actually gets paid.

THE FOUR THINGS BUYERS ACTUALLY PRICE

Buyers separate dependence into four specific buckets: who originates new business, who holds the key customer relationships, who performs or supervises delivery, and who makes the decisions that can't wait. You can be fully independent on three of the four. The fourth one will still set your price.

"Just Delegate More" Doesn't Work, and Here's Why

The instinct is to hire good people and get out of their way. Brian Chesky tried exactly that at Airbnb and called it, in hindsight, disastrous. The problem wasn't the people. It's that delegation doesn't scale when the decision-making logic still lives only in the founder's head. You can hand someone the authority to decide, but if they don't have the reasoning you use, you've just moved the bottleneck, not removed it.

The actual fix has a name: decision architecture. It means classifying the decisions your business makes, assigning clear ownership to each type, setting thresholds for when something needs to escalate, and then tracking how long decisions take and how often they get reversed. It's less romantic than "hire great people and trust them." It's also what actually works, because it gets your judgment out of your head and into a system other people can run.

The Test That Tells You Where You Stand

There's a simple, uncomfortable way to find out how dependent your business actually is on you: leave for thirty consecutive days. Take no calls. Don't delegate anything in advance beyond what's already written down. Then look at what broke.

Most owners are afraid to run this test because they already suspect what they'll find. That's exactly why it's worth running.

Two Ways to Build a Business That Doesn't Need You

Greg Flynn started with eight Applebee's in Seattle in 1999. Flynn Group now runs roughly 3,000 units and employs 75,000 people, and Flynn is explicit about why:

"What matters is that we've built a business with a reason to exist beyond any one individual, one that can keep growing, evolving and creating opportunity."

Chesky went the other direction after Airbnb's COVID collapse: he re-centralized hard, redrew the org chart, and personally ran product decisions again. Revenue went from an 80% booking collapse to \$6 billion within a year and nearly \$10 billion two years later. That's not a contradiction of the founder-independence argument. It's the same idea from the other side: Chesky rebuilt as the deliberate designer of the decision system, not as the answer to every decision inside it. Both operators ended up in the same place. The founder decides what the rules are. The founder stops being the rule.

A few things worth un-learning:

- Being indispensable doesn't make your business more valuable. It's priced as a discount, not a premium.
- Documentation alone doesn't fix this. SOPs are worth something (roughly a 0.25x to 0.5x multiple bump), but buyers want two years of proof that someone other than you has actually run the thing, not a binder.
- Working harder in the business isn't the path out. Decision demand scales with headcount. Your personal capacity doesn't.

THIS WEEK

Track every decision that lands on your desk this week, no matter how small. At the end of the week, sort them into three piles: things that followed a rule you already know (these should be written down and handed off), things that needed judgment but could be handled with a framework you could write in an afternoon, and things that genuinely needed you. That third pile is almost always smaller than you think. Everything else is your delegation backlog, already sorted for you.



The Next Ten Locations: How to Scale a Multi- Unit Business Without Breaking Operations

Why the stretch from unit three to unit ten feels harder than the stretch from zero to three, and what separates operators who break through it from operators who get stuck in it.

TAVIS SCHOLZ · 19 SEPTEMBER 2026 · 5 MIN READ

You did the hard part. Unit one, you built with your own hands. Unit two and three, you ran on hustle: eighteen-hour days, personally training every manager, personally answering every 11pm call. It worked. Now you're staring at unit four or five, and something's off. It doesn't feel like the business is compounding. It feels like it's fraying. Margins are softer than they were. Turnover's up. You're more tired for less result than you were a year ago.

You haven't done anything wrong. You've hit a stage that has a name, and it hits almost everyone at almost the same spot.

The Dead Space Between Three and Five Units

Consultants who study multi-unit operators call the zone between roughly three and five units the "dead space." Below three units, one hands-on owner can cover everything. Above five or six, you've usually built (or been forced to build) enough management

layer to run the business without being in every room. In between, you've outgrown what you can personally do, but you haven't built what should replace you yet.

“The greatest risk in multi-unit franchising is not growing too quickly. It is becoming trapped between operator scale and enterprise scale.”

—MELLON FRANCHISING

That's the trap in one sentence. It's not that you grew too fast. It's that your management infrastructure didn't grow with you.

FAST FACTS

- Between roughly 3 and 5 units, symptoms show up as rising complexity, manager turnover, slower execution, and margin pressure, even while revenue is climbing.
- Franchisors stop supporting you at the four walls. Above-store infrastructure, shared services, recruiting, accounting, is entirely on you to build.
- Operators in the 11 to 25 unit tier grew 33% over the last 15 years, and the 26 to 50 unit tier grew 55%, compared to 18.6% growth for operators stuck at 2 to 5 units. Scale, once the infrastructure exists, compounds on itself.

The Unit-3 Failure Mode

Here's exactly how the dead space breaks businesses, and it's specific enough to recognize. An owner hires a GM for unit one, runs unit two personally, and opens unit three at the same time. What happens next is predictable: unit one's revenue dips 8 to 12% during the unit-three build-out because the owner's attention is split. Unit two,

which never got the owner's full focus to begin with, plateaus 10 to 15% below what it should be doing.

Nobody did anything wrong. The math just didn't work, because one person was doing three jobs at once.

The fix is boring and it's the whole point: hire the area manager *before* you open unit three, not after you feel the pain of not having one.

THE UNIT-3 FIX

The salary you're avoiding is \$75,000 to \$95,000 a year. Treat it as a bet, not an expense: a bet that unit three actually works instead of producing three underperforming units where you used to have two strong ones. Operators who try to save that salary by managing everything themselves consistently get the worse outcome, not the cheaper one.

Unit two typically doesn't turn profitable until 12 to 18 months after opening, and during that stretch it needs \$100,000 to \$200,000 in working capital, usually pulled straight out of unit one's cash flow. That's a dependency loop, and it's exactly why the timing of your hires and your financing matters more than the timing of your leases.

Two Camps, One Shared Truth

There's a real debate in this space, worth knowing so you can place yourself. One camp argues you should accelerate *through* the dead space, because additional unit count is what generates the revenue base that eventually pays for the management layer.

Slowing down just prolongs the pain. The other camp argues the opposite: build the systems and leadership readiness first, because roughly 70% of multi-unit development agreements stall out when leadership and systems aren't in place before the growth commitment is signed.

Both camps actually agree on the variable that matters. It isn't speed. It's whether organizational infrastructure is being built in step with unit count, or lagging behind it.

Fast growth with the infrastructure in place works. Fast growth without it produces exactly the unit-3 failure mode above, just at a bigger scale.

The Money Got Easier in 2026

One thing changed this year that's worth knowing if you're financing the next few units: the SBA doubled its combined 7(a) and 504 lending cap from \$5 million to \$10 million, effective July 2026. That means a franchisee can now hold \$5 million in 7(a) operating debt and \$5 million in 504 real estate debt at the same time, a structure that wasn't possible before. Lenders are also increasingly building portfolio-level structures where unit one's performance pre-approves financing for unit two on better terms. If your unit-1 numbers are strong and documented, you have more leverage right now than operators had two years ago. Use it.

What Building Ahead of Need Actually Looks Like

Jim D'Aquila, who built a multi-brand portfolio (Shipley Do-Nuts, Saigon Hustle, Sweet Paris) starting at age 62, put it plainly: *"We made a deliberate choice to build systems and infrastructure ahead of need. From our tech stack to our corporate structure to our talent bench, everything is designed for where we will be in five years, not just where we are today."* That's not a personality trait. It's a purchasing decision, made before the pressure forces it.

Three Things That Aren't True

"A strong first unit proves the model." It proves the concept works once. It says nothing about whether the model works when you're not personally in the building.

"Unit one's cash flow will fund expansion." It will, until it can't. That dependency loop is exactly what strands operators mid-growth.

"The next ten will be as hard as the last three." The data says the opposite. Growth compounds once the infrastructure exists. The hard part is building the infrastructure, not sustaining the growth after.

THIS WEEK

Run the district-manager math before you sign the next lease. Take your current unit-1 and unit-2 margins and subtract a \$75,000 to \$95,000 area manager salary. If what's left still cash-flows positive, you're funded to build the layer you need. If it doesn't, that's the gap to close, in that order, before the next unit, not after it opens and starts bleeding your attention from the units you already have.



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